



Bangladesh Bank
(Central Bank of Bangladesh)
Head Office, Motijheel, Dhaka-1000
Financial Sector Support and Strategic Planning Department (FSSSPD)

Request for Expressions of Interest (REoI)
for
International Consulting Firms (Service Provider) for Asset Quality Review (AQR) in Banks

Reference No.: S-1_PPA_FSSP-II

Date: 03 August, 2026

01. Background

Bangladesh Bank (BB), the central bank of Bangladesh, plays a pivotal role in maintaining financial stability, safeguarding depositors' interests, and strengthening the soundness of the banking sector. As the financial system grows in size and complexity, concerns have emerged regarding credit quality, loan classification, provisioning adequacy, capital adequacy, and overall risk management practices in banks.

To address these systemic vulnerabilities and reinforce prudential oversight, BB intends to undertake a comprehensive **Asset Quality Review (AQR)** of selected banks under the Project Preparation Advance (PPA) of the proposed **Financial Sector Support Project-II (FSSP-II)**, supported by the World Bank.

BB seeks to engage an **international consulting/audit firm** with proven expertise in AQRs, diagnostics of banks, and credit risk assessments to carry out this assignment.

02. Functions and Responsibilities

The assessment will comprise two stages:

- First Stage: Assessment of asset quality, adequacy of Regulatory and Tier 1 capital against international and local standards and a comprehensive evaluation of banks' credit risk management procedures, processes, and practices.
- Second Stage: Assessment of Regulatory and Tier 1 capital adequacy in a 3-year horizon and according to baseline and adverse macroeconomic scenarios.

The assessment will be based on fair, prudent, and realistic assumptions consistently applied to all banks.

(i) Compliance and Diagnostic Assessment

- a) Review compliance with BB's prudential regulations on asset classification, provisioning, large exposures, related-party identification, foreign currency exposures, and credit underwriting.

- b) Assess accounting policies, credit risk management practices, internal controls, and underwriting quality.
- c) Review liquidity management, investment policies, and FX exposure frameworks.

(ii) Asset Quality Review (AQR)

- a) Conduct an asset quality review covering at least 80% of the total assets of the respective bank.
- b) Perform data integrity verification (DIV) of bank-provided datasets.
- c) Apply segmentation, sampling, and extrapolation for loan portfolios, securities, fixed assets, and off-balance sheet exposures.
- d) Conduct collateral valuation reviews, including independent reappraisals where required.
- e) Identify willful defaulters, related-party transactions, and connected lending as per regulations.

(iii) FX Exposure Review

- a) Assess the adequacy and accuracy of net open positions, valuation of FX exposures, and regulatory reporting.

(iv) Capital Adequacy Assessment

- a) Assess Regulatory Capital and Tier 1 capital adequacy based on adjusted asset classifications and provisioning levels.
- b) Evaluate capital adequacy under baseline and adverse macroeconomic scenarios.

(v) Liquidity Review

- a) Assess different liquidity ratios like liquidity coverage ratio, net stable funding ratio liquidity mismatches, funding gaps, and reliability of liquidity projections.

(vi) Forensic Examination

- a) Detect fraudulent or illegal loan activities, identify responsible parties, quantify losses, and recommend preventive mechanisms.

(vii) Reporting

- a) Prepare inception report, monthly progress reports, data quality assessments, AQR findings, adjustment summaries, and final diagnostic report signed by the senior-most partner based abroad.

03. Commencement and Duration

The Services are expected to commence in **January 2027**, and service providers should perform the components in Para 2 within **120 calendar days** from the date of the contract.

Interested international consulting firms must demonstrate the following qualifications:



(i) Legal Status and Experience

- a) The consulting firm must be a legally registered entity with at least fifteen (15) years of verifiable experience, including a minimum of ten (10) years specifically providing professional consulting services in AQR, diagnostic studies, banking supervision, credit risk reviews, IFRS-based assessments, and stress testing with financial sector regulators, central banks, or large commercial banks worldwide.
- b) In the case of a Joint Venture (JV) or consortium, each participating member must have at least ten (10) years of relevant experience as specified above.
- c) Consultants are requested to submit, but not limited to, the following supporting documents in support of the above-mentioned criteria:
 - (i) The Firm's Incorporation/Trade/registration documents from the country of the firm (ii) Firm's brochures; and (iii) description of similar consultancy contracts, including the scope, contract amount, name of Client, period of the contract (date of contract signing to date of completion), location/country of the services, etc.

(ii) Relevant Sector Experience

- a) The firm must have successfully completed at least two (2) AQR or banking diagnostic assignments in the past ten (10) years of comparable scope, scale, and complexity for central banks, banking regulatory authorities, state-owned commercial banks, or multilateral financial institutions. At least one contract must have been completed within the last five (5) years. Of these, at least one contract must have been executed outside the consultant's home country.
- b) Demonstrated expertise in reviewing loan files, valuing collateral, implementing IFRS 9/credit impairment models, conducting stress testing, verifying data integrity, and performing forensic audits.
- c) Experience with World Bank-funded or other multilateral-funded projects will be given preference.

(iii) Technical Capacity and Track Record

- a) The firm must demonstrate its ability to deploy multidisciplinary teams with internationally qualified professionals across IFRS, PCAOB accreditation, and Basel III expertise.
- b) The team composition should include Team Leaders, Accounting Experts, Risk Management expert, Market Risk Management Experts, Credit Risk Analysts, Financial Regulation Experts, Data Analysts, Valuation Service Providers/Experts and Forensic Experts and Lead/Country Project Manager.
- c) Team members holding relevant professional certifications such as CA, CPA, ACCA, CFA, FRM, CAMS, ASA CIPA, CSAA (for Islamic banks), etc., will also receive favorable consideration.



04. Conflict of Interest

The attention of interested consultants is drawn to Section III, Paragraphs 3.14, 3.16, 3.17, 7.3 of the World Bank's Procurement Regulations for IPF Borrowers, February 2025, which set forth the World Bank's policy on conflict of interest.

A consulting firm is allowed to submit the expression of interest alone if it considers itself to be fully qualified on its own for the assignment, as it is not mandatory for consultants to associate with any other firm(s), whether foreign or local. Alternatively, if consultants themselves choose to associate to enhance their qualifications and capability for the assignment, then such associations may either be as a Joint Venture (i.e. all members of the joint venture shall be jointly and severally responsible) and/or Sub-consultants (i.e. the Consultant will be responsible, including for the services of the sub-consultant). In case of an association, the Consultants must explain in the EOI submission (a) the rationale for forming the association and (b) the anticipated role and relevant qualifications of each member of the Joint Venture and/or of each sub-consultant for carrying out the assignment, to justify the proposed inclusion of the JV members and/or sub-consultants in the association. Failure to provide the above explanation in the Expression of Interest may risk the association not being shortlisted for the assignment. However, the qualifications/experience of sub-consultants will not be considered by the Client in the evaluation of Expressions of Interest for Shortlisting purposes.

If shortlisted, Consultants will still have opportunity at the subsequent proposal preparation stage to further enhance their expertise for the assignment by associating with non-shortlisted consultants in the form of a Joint Venture or as Sub-consultants. In all such cases a shortlisted Consultant must obtain the written approval of the Client prior to the submission of the Proposal, for which the shortlisted Consultant will be required to justify the rationale for associating and specify the proposed role and relevant qualifications of the proposed associate(s) for carrying out the assignment. When associating with non-shortlisted firms in the form of a joint venture or a sub-consultancy, the shortlisted Consultant shall be a lead member. However, Instruction to Consultant (ITC) clauses of RFP will prevail in regards to associate with non-shortlisted firm or sub-consultant during proposal preparation stage.

Failure to provide this explanation may result in the association not being shortlisted. To maintain efficiency, it is preferable to limit associations to a maximum of two (2) firms.

05. Selection Method

Consulting Firms will be selected in accordance with the 'Quality and Cost Based Selection' (QCBS) method of the World Bank Group set out in the Procurement Regulations, following an open international competitive process. The assessment will be carried out in Batches which will be detailed out in Request for Proposal (RFP) document. The consulting firm may express its interest for one or more batches; however, one firm will not be allowed to be awarded for more than one Batch.

06. Information and Submission

Further information can be obtained at the address below during office hours (10:00 AM to 17:00 PM BST). The detailed Terms of Reference (ToR) for the assignment can be downloaded from www.bb.org.bd or www.worldbank.org website or can be obtained upon request from the address below either by e-mail or in person during the office hours (Local Time: 10:00 to 16:00 hours).

Submission Deadline:

Expression of Interest must be delivered in a written form to the address below (in person, or by mail, or by e-mail) by **15:00 PM (BST) of 31 August 2026**.

The client will not be responsible for any expenses incurred by the firm(s) in connection with the preparation or delivery of the EOI.

The Procuring Entity (PE) Bangladesh Bank reserves the right to accept or reject any or all EOIs without assigning any reason whatsoever.



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